

Alphabet Inc.

GOOGL NASDAQ

Buy	\$344.20 ▲ 0.06%	12M Price Target \$385.00	52-Week Range \$196.60 – \$408.61	Market Cap \$4.21T
-----	------------------	------------------------------	--------------------------------------	-----------------------

GOOGL: Marvell Chip Deal Signals Custom Silicon Push

WHAT HAPPENED

- Marvell just gave Google the option to buy a \$12.2B stake in a custom chip deal — this is HUGE. It means Alphabet is doubling down on making its own AI chips instead of buying from Nvidia, which lowers their long-term AI costs and gives them a real moat. The stock barely moved (+0.06%) because the market's still digesting it, but this is the kind of vertical integration that quietly compounds.
- The \$3.5B Anthropic-tied data center loan and Alphabet's "small data deal" chatter both point in the same direction: the AI infrastructure buildout is accelerating, and Google's cloud/chip stack is at the center of it.

WHY IT MATTERS

The Marvell deal is the real story — Alphabet is building a Nvidia alternative in-house, and that structurally improves margins over time (they're not paying the ~75% gross margin Nvidia tax on every AI workload). This probably means Google Cloud's profitability inflects higher over the next 4-6 quarters, which is exactly what bulls have been waiting for. The bearish options flow (put/call at 0.63 skewed to puts, plus that unusual \$390 put) tells me short-term traders are hedging into the August OpEx — not a fundamental bet against the company. And Brin's insider selling looks like scheduled 10b5-1 stuff (the \$0 price tag suggests gifts/trusts, not open-market dumps), so I wouldn't read too much into it.

POLICY & POLITICAL WATCH

The big overhang is still the DOJ antitrust remedy phase — the government has been pushing for Chrome divestiture and Android restrictions, and the appeals process is grinding through 2026. But here's the flip side: the current administration's AI executive orders have generally favored US-based AI infrastructure (fast-tracking data center permitting, export controls on chips to China), which directly benefits Alphabet's TPU/cloud buildout. Also worth watching: any renewed noise on Section 230 reform or an EU Digital Markets Act enforcement action — those are the tail risks that could clip ad revenue.

IS IT EXPENSIVE?

At ~35x forward earnings, you're paying \$35 for every \$1 of profit Alphabet will make next year — that's a premium to the S&P (~22x) but a DISCOUNT to Microsoft (~38x) and Meta (~28x adjusted for growth). Given Alphabet has the best AI chip stack, YouTube growing double-digits, and Waymo scaling as a call option nobody's paying for, this feels reasonable — not cheap, but not stretched. The market's basically pricing in "steady eddie AI winner" and ignoring the optionality.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

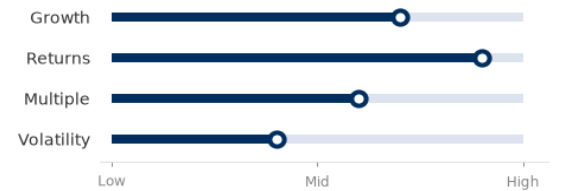
AI-Generated Pre-Market Brief | 2026-08-19 13:23 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

Price (USD)	\$344.20
12M Price Target	\$385.00
Upside / (Downside)	+11.9%
Market Cap	\$4.21T
FY2026E Revenue	\$425M
FY2027E Revenue	\$478M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	34.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$365.00	\$350.00	\$325.00
6 Months	\$400.00	\$375.00	\$310.00
1 Year	\$440.00	\$385.00	\$290.00
2 Years	\$520.00	\$430.00	\$270.00
5 Years	\$750.00	\$550.00	\$300.00
10 Years	\$1200.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.76%) and Healthcare (+1.60%) leading — classic defensive/inflation-hedge rotation, probably reacting to some macro data or Fed commentary. Energy strength also hints at data center power demand narrative.

COOLING OFF: Comm Services (-0.31%, -0.71% 5D) and Consumer Discretionary (-0.33%) — GOOGL sits in Comm Services, so the sector's mild weakness is why the stock is flat despite good news.

ROTATION WATCH: Money is rotating out of mega-cap tech/comm services and into defensives + energy. That's a short-term headwind for GOOGL, but it's rotation noise, not a fundamental shift. When rates or macro fears ease, this reverses fast.

RELATED PLAY: If you believe the AI chip vertical-integration story, Marvell (MRVL) is the direct beneficiary of this deal. Data center REITs (EQIX, DLR) also win as hyperscaler capex keeps ripping.

WHO'S WINNING IN THIS SPACE?

- MRVL (Marvell): Direct winner from the \$12.2B Google chip option — this is validation of their custom silicon business.
- NVDA (Nvidia): Still the AI infrastructure king, but the Marvell/Google deal is a shot across the bow long-term.

GOOGL CONTEXT: GOOGL is lagging its mega-cap peers slightly on the 5-day (Comm Services -0.71%), but it's been a leader YTD sitting at 70% of its 52-week range. This is consolidation, not weakness — the stock is digesting a huge run and building a base. That's usually a setup for the next leg higher once a catalyst hits (likely Q3 earnings or a Gemini product event).

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Alphabet has the best combination of profitable core business + real AI infrastructure + hidden optionality (Waymo, YouTube) in mega-cap tech, and it's trading at a discount to peers.

POSITION SIZE: 4-6% of portfolio. Big enough to matter, small enough that the DOJ tail risk doesn't wreck you.

ENTRY POINTS: I'd add at \$330-340 on any macro pullback. If it breaks \$325 on non-fundamental news, back up the truck.

TIME HORIZON: 12-24 months. Catalyst: Q3 earnings (Cloud margin expansion), any Waymo commercial milestone, or DOJ remedy clarity.

WHEN TO BAIL: Two consecutive quarters of Search revenue declining YoY, OR a DOJ order forcing Chrome/Android divestiture, OR Cloud growth decelerating below 25%.

HEDGING: Buy cheap out-of-the-money puts (around \$325 strike, a few months out) as insurance — costs a little, but protects you if antitrust news hits. Or just don't oversize the position.